Offer or Just Invitation?

spot the real offer!

Applied Business and Industrial Laws

In simple words An offer can be accepted to make a contract. An invitation only asks people to make offers.

1 Offer (Proposal)

A person shows willingness to do or not do something, to get the other's assent. Acceptance of it creates a promise.

Final intention to be bound

2 Invitation to Offer

A step before the offer. It invites others to make offers, and cannot be accepted to form a contract.

Only an invitation to bargain

1. An offer is capable of acceptance; an invitation is not
2. Test: did the maker show intention to be bound on simple acceptance?
3. Display, catalogue, price list, tender notice, auction call = invitation
4. A general offer (reward advertisement) can be accepted by performing the condition



Swipe for the summary →

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Offer Sorting Table

Offer vs Invitation to Offer

same words, different status

Situation	Legal status
Goods with price tag on display	Invitation to offer
Catalogue or price list	Invitation to offer
Tender notice / auction announcement	Invitation to offer
Bid in auction / submitted tender	Offer
Advertised reward for a condition	General offer (Carlill case)

Invite first, offer next! The customer's bid or request to buy is the offer; the seller's acceptance completes the contract.

Swipe for a memory trick →

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STUDY TRICK

Offer vs Invitation to Offer

think shop window

WINDOW SHOWS, BIDDER OFFERS

A shop window, catalogue, tender notice or auctioneer's call only shows or invites. The bid or buyer's request is the offer; the reward ad is the exception.

HOW TO ATTEMPT IT

1 Read who is speaking → 2 Is there intention to be bound? →

3 Can simple acceptance close the deal? →

4 Is it an advertisement for a reward? → 5 Name it and cite the case

EXAM TIP

In MCQs, price tag, catalogue, tender notice and auction call mean invitation. A reward promise to anyone who performs means general offer.

DOUBT BUSTER

Is a price-tagged item an offer by the shop? No. It is an invitation to offer. The customer offers by bringing it to the counter, and the shopkeeper accepts by taking the price.

Swipe for common mistakes →

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COMMON MISTAKES

Offer vs Invitation to Offer

don't fall for the price tag

✗ Goods with a price tag in a shop window are an offer

✓ They are an invitation to offer; the customer makes the offer

✗ Auctioneer's announcement is an offer

✓ It is an invitation; the bidder's bid is the offer

✗ A tender notice is an offer to the bidders

✓ The notice invites tenders; each submitted tender is an offer

✗ A reward advertisement is only an invitation

✓ It is a general offer, accepted by performing the condition (Carlill case)

TOMORROW'S CMA CAT MCQ TESTS THIS! Revise it tonight, then try the MCQ.

Save this for revision!

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